

Outlook

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Follow-up: validate the treatment strategy, not only the risk rank

Morning,

I need help with something that sounds simple but probably is not.

Collections wants a prioritisation model, but validation must separate default risk from the effect of different contact strategies. There is no confirmed problem yet; this is a request to test an assumption before it becomes policy.

The questions I would ask in the room are:

1. What would we expect to see if contact channel changes promise-kept rates?
2. What evidence would instead support that some customers self-cure without intervention?
3. How do we rule out that high-risk customers need tailored arrangements rather than more attempts?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether a model can support treatment allocation and what experiment is needed next. A useful output would be a short decision pack with no more than five slides and an attached evidence table.

Use collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. One caution: Observational data cannot prove treatment causality; recommend a controlled test where appropriate.

Regards